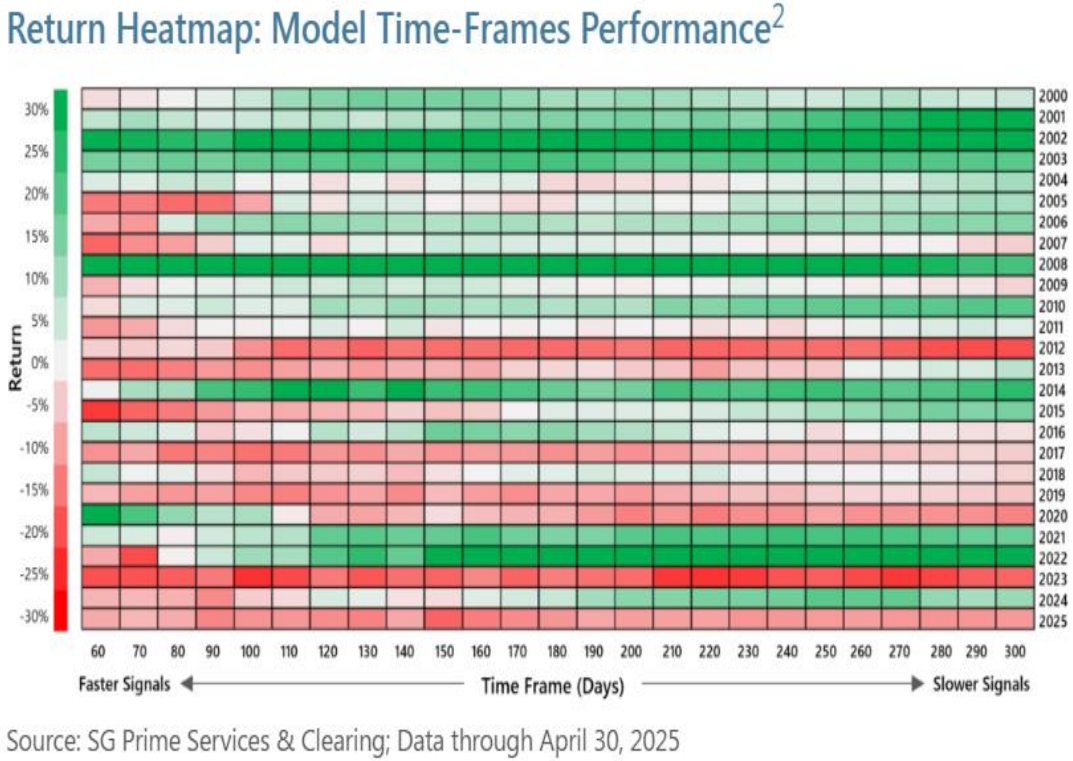
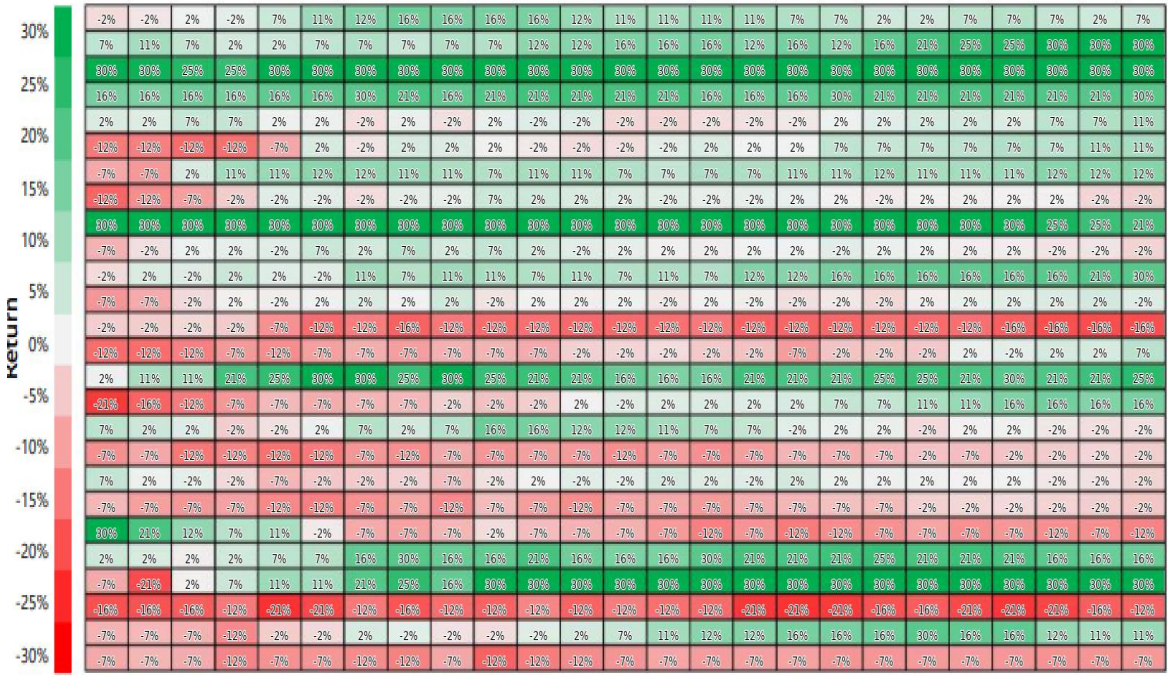
Trend Model Speed Comparison

Starting with the heatmap from *Trend-Following Primer*

I used the colour-rank and grid pixel colours from the heatmap to populate the grid numerically to get the data. (It is unavoidably quite ‘blocky’ data.)

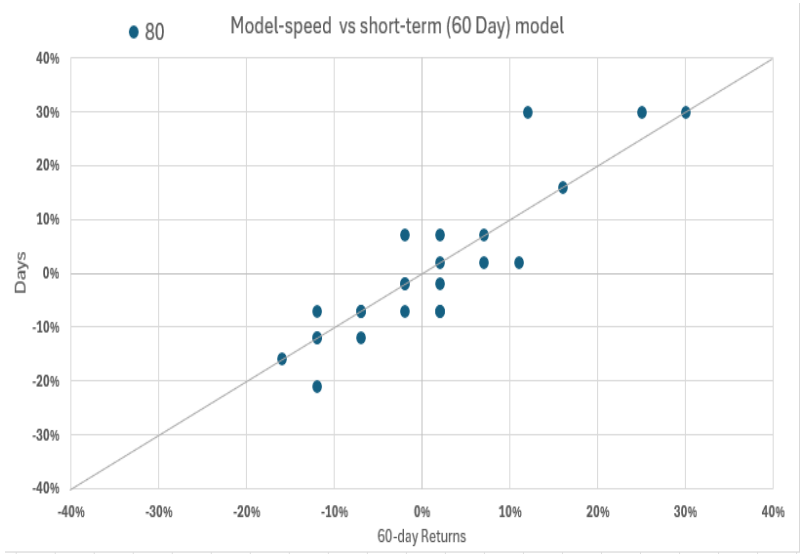


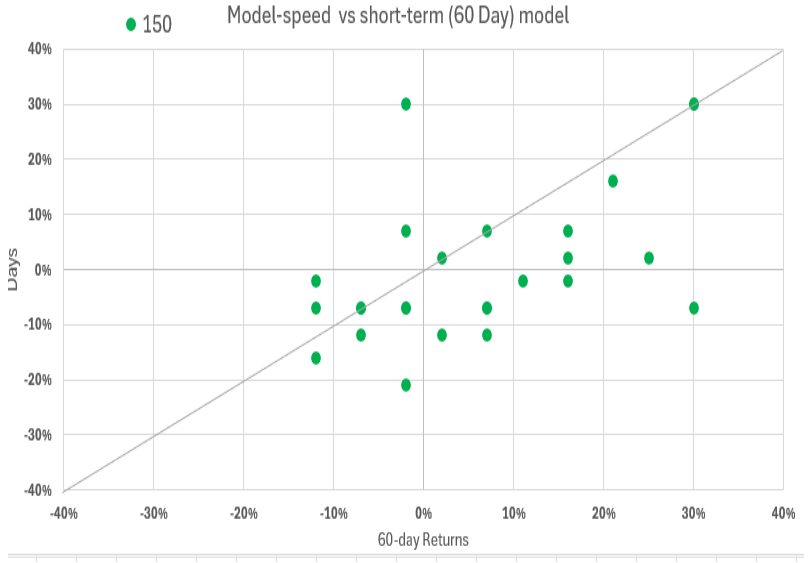


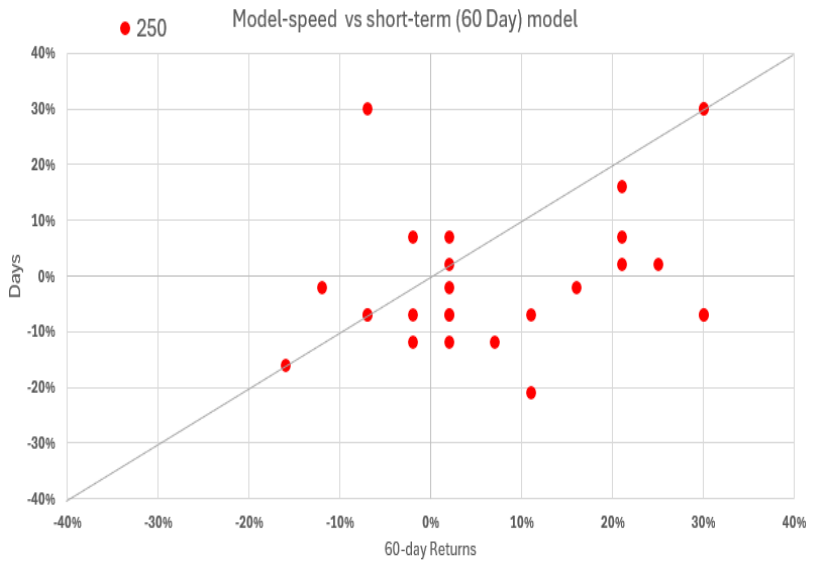
Trend Model Speed Comparison

I then plotted the returns of the different model-speeds (the columns of the heatmap) against a base-line shortest speed of 60 days to see how they compare. I chose a short period (80 day), medium (150 day) and longer term (250 day).

As you'd expect, the 80 day lines up quite well with the 60. But then as the we increase the period the downside improves relative to the 60-day, but it loses some upside. In general though, the longer term models still show some positive convexity relative to the short term models.







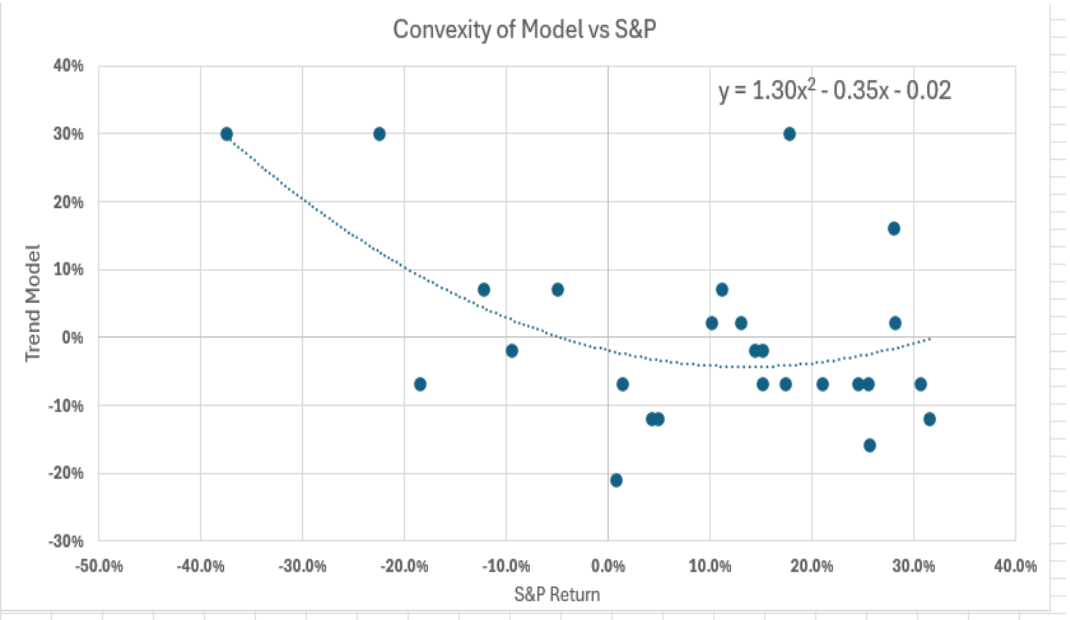
Trend Model Speed Comparison

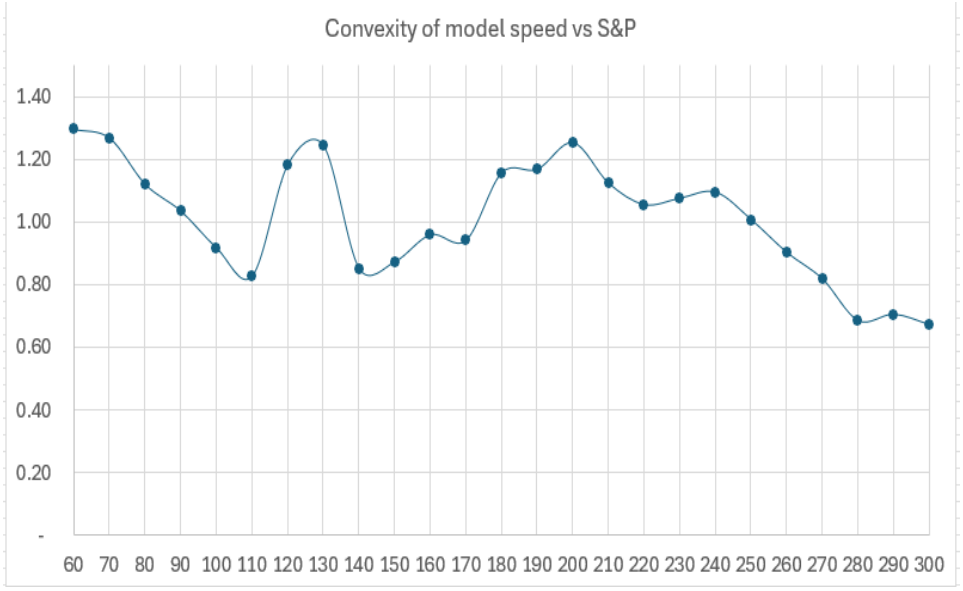
I then also plotted each speed model's annual return vs the S&P return to examine convexity.

Convexity definition: the x^2 co-efficient in a quadratic line-of-best fit.

Left chart: 60-day model vs S&P, corresponding to a convexity of 1.3.

Right chart: convexity for all model speeds.





I don't think there's much conclude from this, but thought I'd show it anyway.

The data is too blocky and the convexity measure too simple making any conclusion dubious.